

Daily Market Summary

August 05, 2026

Market Tone — Today's Session

A recap of how the market traded today — not a forecast.

Today: -0.11 → Slightly Bearish

Trend (5-day EMA): **+0.08 → Neutral** — smoothed, the readable day-over-day signal.

Component	Weight	Score
Market data	70%	-0.06
News headlines	20%	-0.34
Fed (rate expectations)	10%	+0.03

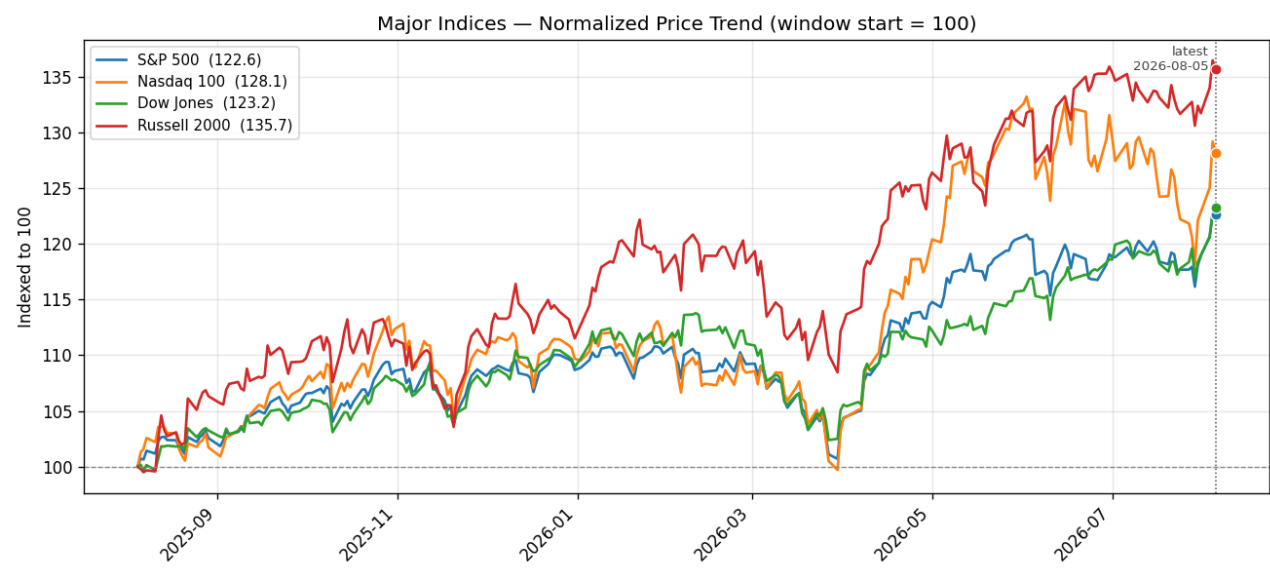
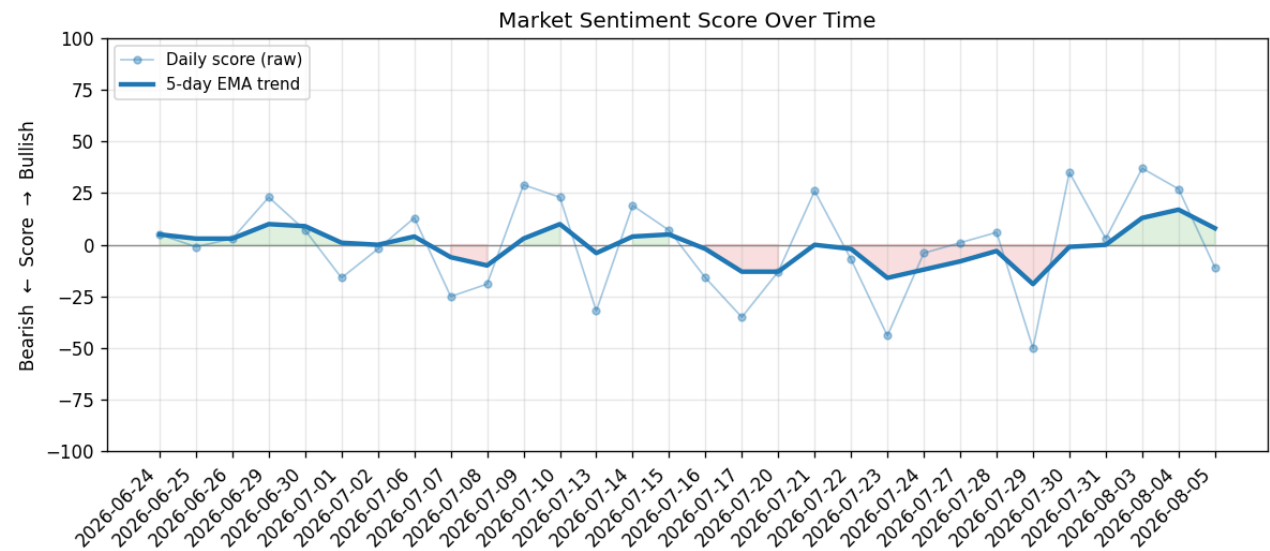
Equities fell with Nasdaq -0.8%, S&P 500 -0.2%, VIX -4.2%. Sector breadth: 5/11 sectors up. 10Y yield -0.2%. News headlines read bearish. Fed-policy expectations eased (13-Week T-Bill Yield -0.5bp). Today's overall market tone: Slightly Bearish. (news scored with finbert)

Standout headlines

Most bullish (+0.78) — Fed Governor Cook says she's 'prepared to act' on rate hike to address inflation

Most bearish (-0.94) — Alphabet's stock drops as Google loses another key AI executive

Trend Charts



Sector Watch (AI Stack)

Score describes the day: driven by the session move (70%), with breadth (avg % of the 20/50-day MAs the basket trades above, 15%) and news (15%) for texture. Relative strength (vs the Nasdaq for tech baskets, the S&P for the rest) is shown as a context column but doesn't drive the label. Sorted strongest→weakest.

Sector	Move	Rel. Str.	Breadth	News	Overall
Pharma / Healthcare	+1.16%	+1.33% vs S&P	81%	Slightly Bullish	Bullish (+0.59)
Consumer	+0.92%	+1.09% vs S&P	69%	Slightly Bearish	Bullish (+0.45)
Banking	+0.56%	+0.73% vs S&P	94%	Neutral	Bullish (+0.44)
Networking / Interconnect	+0.03%	+0.86% vs Nasdaq	79%	Slightly Bullish	Slightly Bullish (+0.25)
SaaS	-0.78%	+0.05% vs Nasdaq	100%	Neutral	Slightly Bearish (-0.19)
Semiconductors / Compute	-1.44%	-0.61% vs Nasdaq	55%	Neutral	Bearish (-0.55)
Hyperscalers & Neoclouds	-1.72%	-0.89% vs Nasdaq	64%	Slightly Bearish	Bearish (-0.60)
Memory (DRAM/NAND/HBM)	-3.14%	-2.31% vs Nasdaq	0%	Slightly Bearish	Bearish (-0.91)

Positioning & Regime

Was today bullish or bearish, read through positioning: out-of-the-money put/call volume (hedging vs chasing, daily) and short %-of-float (squeeze fuel; exchange data, biweekly) explain the character of the day's move — squeeze rebound, hedged advance, conviction selling. **Under evaluation** — logged daily, drives no scores.

Basket	OTM P/C	Short Flt	Day	Today's Read
Banking	1.37	0.0%	+0.56%	Bullish — advance, but heavily hedged — protection still bid
Pharma / Healthcare	1.10	1.8%	+1.16%	Bullish — broad advance; positioning unremarkable
Consumer	0.70	2.0%	+0.92%	Bullish — broad advance; positioning unremarkable
Networking / Interconnect	0.66	4.3%	+0.03%	Neutral — quiet session
SaaS	0.60	5.4%	-0.78%	Bearish — decline without hedging demand — flows not panicked
Memory (DRAM/NAND/HBM)	0.44	5.7%	-3.13%	Bearish — decline without hedging demand — flows not panicked

Hyperscalers & Neoclouds	0.41	1.7%	-1.72%	Bearish — decline without hedging demand — flows not panicked
Semiconductors / Compute	0.35	2.4%	-1.45%	Bearish — decline without hedging demand — flows not panicked
All tracked	0.42	2.4%	+0.10%	Neutral — quiet session

Bloomberg News Summary

The Close

The Close 8/5/2026 (aired 2026-08-05) · Full-transcript summary · [watch on YouTube](#)

Key takeaways

- **S&P 500 slips from record highs**, down 0.2% as tech weakness offsets strength in materials and healthcare; Dow notches fresh record, up 0.6%. Market rotation continues beyond Mag 7 as mid-caps, small-caps, and equal-weight indices outperform big tech year-to-date.
- **Memory chip earnings disappoint** despite beats: SanDisk down 5% and Western Digital down 9% after hours on lighter-than-expected guidance, though both posted strong quarterly results. Supply constraints expected through 2027 as hyperscalers drive unprecedented demand.
- **Hedge fund deleveraging last month was contained**, with multi-strat funds proving resilient through diversification. Situational Awareness's 67% July collapse prompted margin calls, but liquidations remained orderly with no systemic risk, according to prime brokers.
- **Disney streaming surge** drives 64% profit growth in entertainment division on strong Mounjaro/Zepbound performance; Expedia beats and raises guidance; Shopify soars 17% on robust outlook easing AI disruption fears.

Guest views

- **Mithra Warrier, Scotiabank** — July's hedge fund losses reflect AI concentration risk, but broader industry remains diversified and well-capitalized; orderly deleveraging shows adequate risk management post-crisis reforms working.
- **Evan Schapiro, media analyst** — Disney's TikTok partnership integrates creator content into Disney+ as "super app" strategy; streaming ad sales growth crucial to offset linear decline, especially in sports.
- **Sheila Kahyaoglu, Jefferies** — Defense primes finally re-accelerating growth (Raytheon up 18%) after years of 5% stagnation; Boeing's 737 MAX 7 certification marks progress but 777X remains critical for cash generation.
- **Emily Field, Barclays** — Eli Lilly's obesity drug Zepbound momentum remains "at the beginning" despite hype; low single-digit global penetration supports long runway despite pricing deflation concerns.
- **Mark Newman, Bernstein** — SanDisk's guidance appears conservative after massive beat; buyback expansion to \$15.5B supportive, but normalization from 140% quarterly price growth inevitable.
- **CK Lu, Counterpoint Research** — Memory supply shortage persists through Q4 2027; new fab capacity won't meaningfully impact supply until 2028, keeping pricing elevated and hurting consumer electronics most.

Stocks & sectors discussed

Healthcare led (+1%) on Eli Lilly strength; materials also gained while communication services fell 2% on Alphabet's 4% drop (AI exec departure). AMD down 7% post-earnings; Shake Shack up 11% on Starboard stake; Shopify +17% on strong guidance.

"We have 10 times the companies that we are able to invest in. We can be much more targeted, much more selective. And we can buy the companies in the right way." — Private markets executive on middle-market advantages over mega-buyouts

Top Gainers

Company	Price	% Change
Materion Corporation (MTRN)	297.08	+30.81%
Select Water Solutions, Inc. (WTTR)	22.26	+20.32%
Shopify Inc. (SHOP)	144.24	+16.98%
Bending Spoons S.p.A. (BSP)	43.75	+16.82%
UroGen Pharma Ltd. (URGN)	46.43	+16.31%

Top News

Block slashed 40% of its workforce for AI — and its earnings suggest that’s paying off — MarketWatch (Top)

“We can ship higher-quality products much, much more quickly,” an executive said in the wake of the company’s better-than-expected earnings report

Fed Governor Cook says she’s 'prepared to act' on rate hike to address inflation — CNBC (Finance)

Cook was part of a 9-3 majority that voted last week to keep the central bank’s benchmark borrowing rate in a range between 3.5%-3.75%.

Nintendo earnings preview: Switch 2 momentum faces memory cost pressure — Investing.com

Why AT&T, Verizon and T-Mobile shares are down after SpaceX’s earnings — MarketWatch (Top)

SpaceX thinks it will be able to build wireless capabilities without massive network investments.

As Warsh and the Fed contemplate fewer meetings, markets brace for potential volatility ahead — CNBC (Finance)

Since taking office in May, Warsh has implemented several measures that reverse decades of Fed culture.

Market Snapshot

Major Indices

Instrument	Price	Change	% Change
S&P 500	7,723.55	-12.97	-0.17%
Nasdaq 100	29,487.79	-245.37	-0.83%
Dow Jones	54,349.12	+263.24	+0.49%
Russell 2000	3,019.19	-17.79	-0.59%
VIX	15.81	-0.69	-4.18%

Key Stocks

Instrument	Price	Change	% Change
Nvidia	219.22	+7.28	+3.43%
Microsoft	487.46	-5.35	-1.09%
AMD	482.05	-36.53	-7.04%
Meta	588.77	+0.83	+0.14%
Alphabet	360.13	-15.22	-4.05%
Broadcom	418.28	+0.12	+0.03%
Micron	893.19	+0.52	+0.06%
Intel	101.06	+0.20	+0.20%
SanDisk	1,350.50	-77.12	-5.40%
Coherent	328.22	+4.49	+1.39%
Amazon	272.65	-4.77	-1.72%
Apple	311.00	+1.62	+0.52%
Arm	274.58	-5.98	-2.13%

Commodities & Crypto

Instrument	Price	Change	% Change
Gold	4,334.80	+29.60	+0.69%
Crude Oil	74.98	-0.24	-0.32%
Bitcoin	64,579.53	+529.02	+0.83%

FX Rates

Instrument	Price	Change	% Change
EUR/USD	1.16	+0.00	+0.05%
USD/JPY	157.56	-0.12	-0.08%
GBP/USD	1.35	+0.00	+0.02%

Interest Rates

Instrument	Price	Change	% Change
10Y Treasury Yield	4.62	-0.01	-0.22%
13-Week T-Bill Yield	3.73	-0.01	-0.13%

Analyst Summary

Market Overview

U.S. equities diverged Tuesday as sector rotation continued to dominate price action, with the Dow Jones Industrial Average adding 0.49% to notch a fresh record while the Nasdaq 100 fell 0.83% and the S&P 500 slipped 0.17%. The VIX declined 4.18% to 15.81, suggesting benign risk appetite despite headline weakness in technology. The bifurcated session underscored an ongoing shift away from mega-cap tech concentration toward cyclical, materials, and healthcare.

Fed Policy Takes Center Stage

Federal Reserve developments loomed large over the session. Fed Governor Cook stated she is "prepared to act" on a rate hike to address persistent inflation, a notably hawkish signal that appeared to weigh on duration-sensitive growth stocks. Meanwhile, reports that Fed Chair Warsh and the board are contemplating fewer policy meetings in the future introduced an additional layer of uncertainty, with markets bracing for potential volatility if communication cadence shifts. The 10-year Treasury yield edged down just 1 basis point to 4.62%, suggesting bond markets are taking a wait-and-see approach.

Tech Bifurcation: Memory Weakness, Nvidia Strength

The semiconductor complex faced severe bifurcation. Memory stocks plummeted, with the DRAM/NAND/HBM sector down 3.14% and posting 0% breadth—a striking underperformance versus the Nasdaq. SanDisk tumbled 5.40% and Western Digital reportedly fell 9% after hours despite earnings beats, as lighter-than-expected guidance highlighted supply constraints expected through 2027. AMD cratered 7.04% following its quarterly results, while Alphabet shed 4.05% after losing another key AI executive.

In stark contrast, Nvidia rallied 3.43% on what MarketWatch described as a "high-profile endorsement," illustrating the stock-specific nature of AI sentiment. Hyperscalers and Neoclouds fell 1.72%, with Amazon down 1.72% and Microsoft off 1.09%.

Standout Gainers and Sector Strength

Outside tech, strength was broad. Among the day's top gainers, **Materion Corporation (MTRN)** surged 30.81%, **Select Water Solutions (WTTR)** jumped 20.32%, and **Shopify (SHOP)** soared 16.98% on robust guidance that eased AI disruption fears. **Bending Spoons (BSP)** and **UroGen Pharma (URGN)** also posted double-digit gains, rising 16.82% and 16.31%, respectively.

Pharma and healthcare led sectors with a 1.16% advance, bolstered by Eli Lilly's continued Zepbound momentum. Consumer stocks rose 0.92%, and banking gained 0.56% with bullish positioning metrics (put/call ratio 1.37, indicating heavy hedging despite the advance).

Cross-Asset Signals

Gold climbed 0.69% to \$4,334.80, reflecting ongoing geopolitical hedging (reports cited "Mideast optimism," suggesting recent tensions). Bitcoin added 0.83%, while crude oil dipped 0.32%. The dollar was mixed, with

EUR/USD and GBP/USD barely budging and USD/JPY slipping 0.08%.

Positioning data revealed a notable divergence: bearish tech sectors (semiconductors, hyperscalers, SaaS) showed low put/call ratios, suggesting declines occurred without panic hedging, while banking exhibited heavy hedging despite rallying—a sign of cautious optimism.